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Credit - Drishti Ias

Foreign Exchange Risk Reserve

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Source: IE

Why in News?

The **Reserve Bank of India (RBI)** has unveiled a comprehensive suite of emergency measures to stem the ongoing slide of the **Indian rupee** . A central highlight of this intervention is the **Foreign Exchange Risk Reserve (FERR)** .

- The RBI's strategic deployment of the FERR is being widely analyzed by economists as a **reversal of the "China playbook" on currency management.**

What is the Foreign Exchange Risk Reserve (FERR)?

- **The Mechanism:** In October 2026, the RBI introduced a 20% FERR on specified **rupee-linked forex derivative contracts** involving the purchase of foreign currency against INR.
  - Initially, the 20% cash reserve requirement applied to eligible customer contracts exceeding USD 2 million. It is extended to authorised dealers' own hedging contracts, regardless of the contract value. The **reserve must be maintained daily with the RBI in cash until the contract ends.**
- **Raising the Cost of Hedging:** By mandating this reserve, the central bank intentionally makes purchasing forward dollar protection more expensive for domestic banks and traders.
- **Curbing Speculative and Precautionary Demand:** The mandate disincentivizes entities from indiscriminately forward-booking dollars to **hedge against potential future rupee depreciation,** which itself fuels immediate downward pressure on the currency.
- **Domestic Focus:** The measure specifically targets domestic institutions and onshore traders rather than offshore entities, penalizing local market activity contributing to self-fulfilling sell-offs and curbing localized speculative bets.

Implications

- **Costlier Hedging for Importers:** While targeting speculators, FERR inadvertently **penalizes firms with genuine dollar liabilities** , raising their protection costs and exposure to market volatility.
- **Provides Only "Breathing Room":** Reminiscent of the **2013 Taper Tantrum curbs,** these measures offer merely short-term tactical relief. Long-term stability remains dependent on global crude prices and

Foreign Portfolio Investment (FPI) flows.

- **Regulatory Unpredictability:** Sudden interventions make market participants wary and can disrupt natural price discovery in the forex market.
- **Unresolved Structural Deficit:** FERR may not address underlying pressures such as the **Current Account Deficit (CAD)** , trade imbalances, elevated crude oil prices and foreign capital outflows.

"China Playbook" on Currency Management

The RBI's use of a risk reserve ratio is a direct adaptation of a **counter-cyclical macroprudential tool** used by the People's Bank of China (PBoC).

- **China's Application (To Weaken Currency):** In March 2026, when the Chinese yuan was continuously strengthening against the US dollar (which hurts their export competitiveness), the PBoC cut its FX risk reserve ratio from 20% to zero.
  - By removing this reserve, China eliminated the cost of betting against its own currency.
- **India's Reverse Application (To Strengthen Currency):** India faces the exact opposite scenario - a rapidly weakening currency.
  - By imposing a 20% FERR, the RBI has made it financially burdensome to bet against the rupee, choking the speculative demand for dollars and providing artificial support to the domestic exchange rate.

Click here to Read: Indian Rupee: From Overvaluation to Undervaluation

[Watch Video on YouTube: ▶ **https://www.youtube.com/embed/dmQPaouCyx0**]

UPSC Civil Services Examination Previous Year Question (PYQ)

Prelims

Q1. Which one of the following is not the most likely measure the Government/RBI takes to stop the slide of the Indian rupee? (2019)

(a) Curbing imports of non-essential goods and promoting exports

(b) Encouraging Indian borrowers to issue rupee-denominated Masala Bonds

(c) Easing conditions relating to external commercial borrowing

(d) Following an expansionary monetary policy

Ans: (d)

Q2. Consider the following statements: (2021)

1. The effect of devaluation of a currency is that it necessarily improves the competitiveness of the domestic exports in the foreign markets
2. increases the foreign value of domestic currency
3. improves the trade balance

Which of the above statements is/are correct?

(a) 1 only

(b) 1 and 2

(c) 3 only

(d) 2 and 3

Ans: (a)

Mains

Q. How would the recent phenomena of protectionism and currency manipulations in world trade affect macroeconomic stability of India? **(2018)**

NBA Disburses Access and Benefit Sharing (ABS) Funds

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Source: PIB

The **National Biodiversity Authority (NBA)** disbursed Rs 2.02 crore in **Access and Benefit Sharing (ABS)** funds received from seed-sector companies to **27 State Biodiversity Boards (SBBs)** and **3 Union Territory Biodiversity Councils (UTBCs)** , strengthening biodiversity conservation and equitable benefit-sharing ahead of **17th Conference of the Parties (COP 17) to the Convention on Biological Diversity (CBD)** , commencing in October 2026 in **Yerevan, Armenia.**

- **Cumulative Milestone:** With this latest release, cumulative **ABS disbursement by the NBA has reached Rs 202 crore** , reflecting India's operational compliance with equitable benefit-sharing under the **Biological Diversity Act, 2002** .
- **Seed-Sector Contributions:** Funds were collected from seven major seed firms for the commercial **utilization of parental varieties and hybrids of staple and vegetable crops (e.g., rice, eggplant, tomato, okra, and cucurbits).**
- **Cultivation-Area-Based Apportionment:** Because individual grassroots benefit-claimers could not be traced for market-procured crops, funds were allocated based on the **cultivation area of respective resources** using data from the **Ministry of Agriculture and Farmers Welfare** , with **Madhya Pradesh** receiving the highest allocation followed by **West Bengal** .
- **Utilization of Funds:** Disbursed capital will directly fund the operationalization of **Biodiversity Management Committees (BMCs)** , the updating of **People's Biodiversity Registers (PBRs)** , conservation of local landraces and medicinal flora, and habitat restoration.

Access and Benefit Sharing (ABS)

- **Definition:** ABS is a framework ensuring that the benefits (monetary or non-monetary) arising from the commercial or research utilization of genetic resources and associated traditional knowledge are shared fairly and equitably with the indigenous or local communities that conserve and provide them.
  - The ABS mechanism is a core pillar of the **CBD** and was further operationalized globally by the **Nagoya Protocol** (adopted in 2010).
- **Indian Legal Framework:** ABS is governed by the **Biological Diversity Act, 2002,** which provides for benefit-sharing through the NBA to support local communities and biodiversity conservation.
  - ABS outlays converge with flagship central schemes like **PM-JANMAN** , **Pradhan Mantri Janjatiya Vikas Mission** , and **Pradhan Mantri Van Dhan Yojana** to build bio-resource-based micro-enterprises and tribal welfare.
  - ABS disbursement reinforces India's progress under the **National Biodiversity Strategy and Action Plan (NBSAP) 2024–2030** , **Target 13 (Equitable ABS)** and **Target 19 (Resource Mobilisation)** of the **Kunming–Montreal Global Biodiversity Framework (KMGBF)** .
- **SDG Linkages:** ABS directly advances **SDG 2 (Zero Hunger)** , **SDG 8 (Decent Work)** , **SDG 12 (Responsible Consumption and Production)** , **SDG 15 (Life on Land)** , and **SDG 17 (Partnerships for the Goals)** .

Read more: **Biodiversity as India's Sustainable Edge**